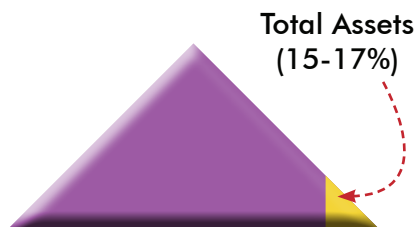


Operating Working Capital / Total Assets

Operating Working Capital/Total Assets, which includes financing assets of the company. This ratio is around 15 to 17 percent. Thus, not a large number of total assets are used as working capital. This means that working capital is not a huge part of total assets.

One thing that we need to understand here is that the numerator has Net Assets (Current Assets - Current Liabilities that are operating) whereas the denominator has Total Assets (not net of liabilities).



Thus, we understood that,

The company's working capital is well covered by the profit itself.

*company's
working capital*

Profit

*company's fixed
assets* = *company's
working capital*

The company's working capital requirement are similar to its fixed capital requirement.

The company's working capital out of total assets is not extremely high.

~~*company's
working capital*~~

In the next unit, we talk about individual line items like Account Receivables, inventory analysis, etc.